Weekly Note 10.27.26

A snowball headed for hell



MITCH CLODFELTER
OCT 27, 2026

Is the best of the free life behind us now?
And are the good times really over for good?

- Merle Haggard

Like a snowball headed for hell the selling across the Ag complex this past week has been…robust. On October 23, NASS said a processing error skewed its September corn numbers for Kansas and Nebraska, affecting plant populations, ear counts, yields, and production. The error also carried into the 10-state averages and the U.S. yield and production forecasts. September data has been corrected. The October 9 forecasts were reviewed and stand as published.

Since then, more discontent in producers has built, and it feels like people are really disappointed with how the agricultural statistics data is reported.

My question becomes: Where the heck have you guys been?

The USDA has never had a real incentive to report accurate or timely data. Like all data, it shows up in hindsight. So much for 'crucial to the American producer.'

We are not trading off the data. We are not making production decisions off the data. We are making production decisions off of what will make us the most money, right? The market owes us nothing, and neither does the USDA.

Corn and beans. That is what the majority of farmers in the counties whose production truly impacts supply are going to plant. Nothing else. Are we truly saying that we are just now questioning the accuracy of government agency reported statistics? The same government that can barely deliver letters on time? The government has never been the 1 seed for timely and accurate processes. Like… ever.

Your only allegiance should be to price and figuring out the right move for you given where the market currently sits. If your broker is advising you to make trading decisions off of the USDA reports and is complaining that the USDA 'just doesn't get it' or 'this gross price manipulation is so destructive and the USDA is pushing a narrative.' Get a new broker. My number is at the bottom of this article.

Information is a commodity now. Selling USDA NASS data as a business model is a joke. It is not difficult. I recently created a website section using AI that pulls together the main USDA reports as well as a few charts of my own devising. The coding itself took me maybe a few days.

Check it out here.

I put it on my website for a few reasons:

1. Though I never trade directly off the data, the numbers can provide context on market sentiment. Algorithms trade these headlines. The size of the swings is worth watching.
2. The vast majority of people enjoy seeing the number in print. I would rather clients spend time on my site than someone else's.

3. It helps establish credibility. The absolute bare minimum I can do is to include USDA data on my site. It's not my research, and it takes me no extra time. It would be sad if I couldn't figure out how to put this on a site.

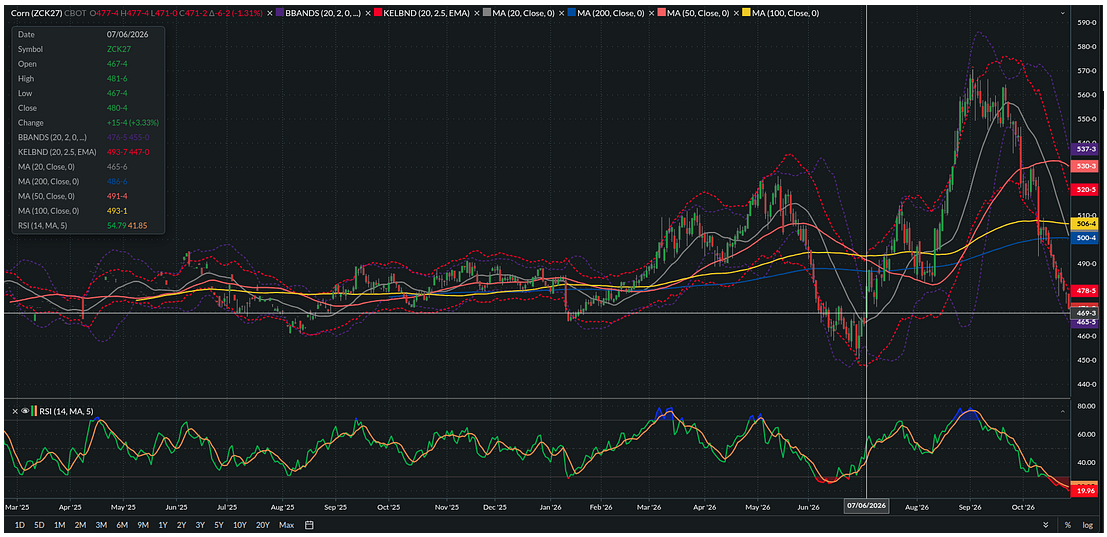
Alright, enough of that. Let's get into what I'm looking at this week.

Subscribed

Corn

Where it stops no-one knows. I honestly hope it continues to crater. I would like to own another May call at the June 30th low ~453.

May 27 Corn ~ Daily



I set the cross-hair to show we have returned to July 6th levels in May corn, only a few days from the mid-summer lows. At that time no-one trusted the rally. I was telling you to own March calls at 3.3c/month instead of paying storage



Okay, Now What?

MITCH CLODFELTER · JUN 30

Read full story

Fast forward to today and May corn calls are 3.7c/month (22c for the .49 Delta calls). Not the dirt cheap levels we saw on June 30 but still very affordable.

This week's price action has me sitting on my hands a bit but I will happily pick up more deferred option ownership should we retest the low.

This may not be the low. The weekly May corn chart could retrace all the way back to the January low at 426'2. Especially if it breaks the 100-week moving average, which it has held since April. Either way, the chart gets awful busy with support around $4.50.



Soybeans

I've been spending a lot of time discussing the deferred contracts so I will focus mainly on Jan '27 Soybeans.

Jan '27 Soybeans ~ Daily



If they do not hold the 100-day moving average here (yellow line), it could get very ugly. They have already broken 61.8% retracement of the August rally, though beans haven't really cared about daily retracement lines this year.

No, the weekly charts have been more useful.

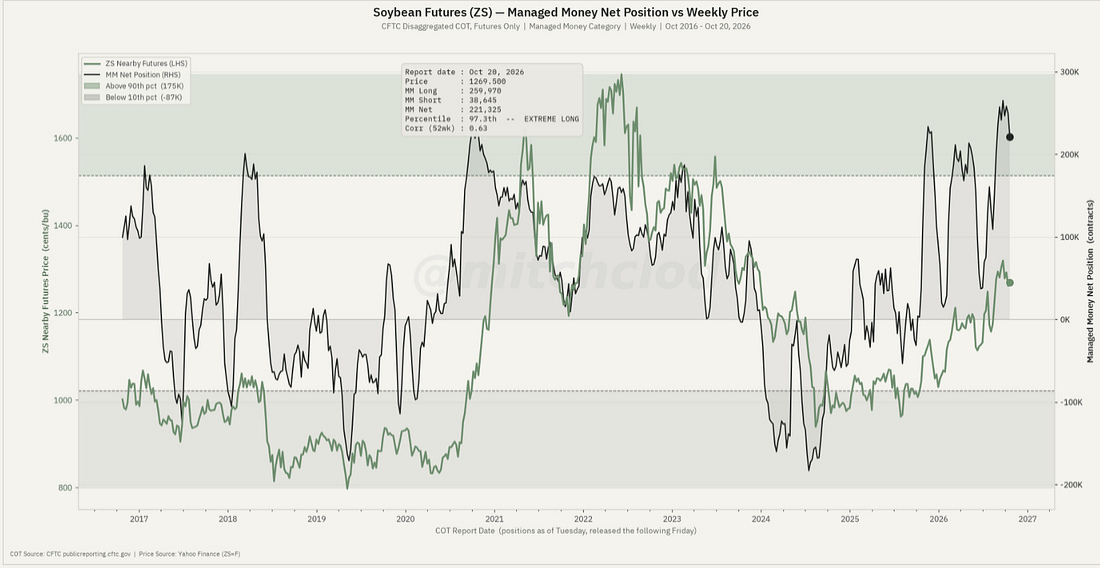
Soybeans ~ Weekly Nearby



The 20-week moving average sits right about here at 1237. Soybeans have wanted to remain above it this year. Right now you're either a soybean bull, or you are a bit frightened.

I am a bit frightened given the length held by funds in the bean market, plus the large bean yields I continue to hear. Managed money is 97.3%

of record net long as of last Tuesday.



You can find these CFTC COT charts anytime and right after the report at our website wicllc.org. Completely free. Always.

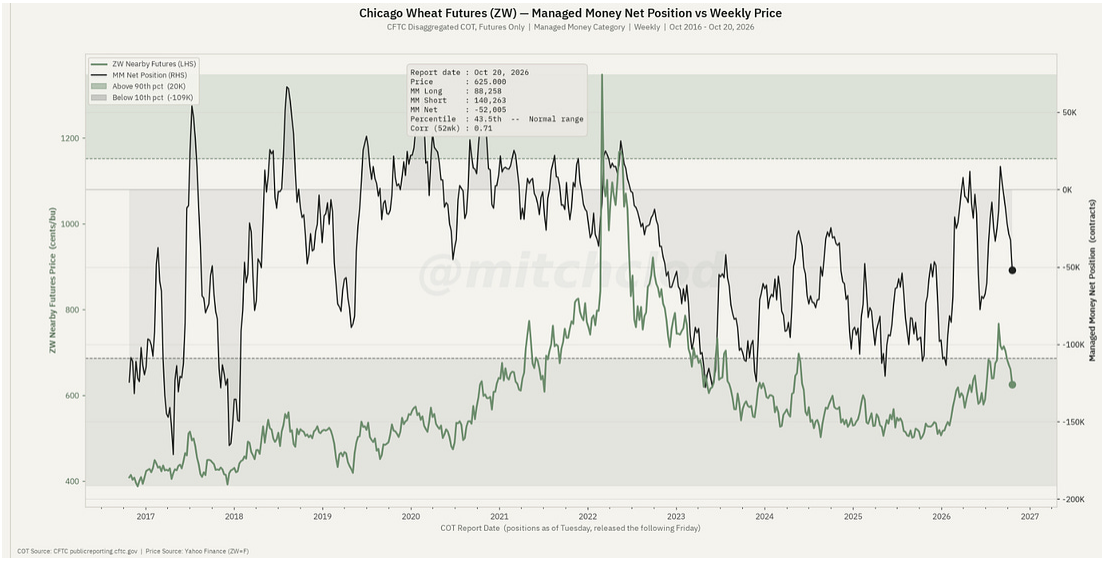
Wheat



I told you last week that if Wheat got much cheaper I would start getting a bit bullish. Well here we are and I haven't bought it yet. Partly

because I'm in other markets, partly because I have a hard time trusting wheat, as should you.

Still, charts are charts and the wheat chart is starting to get more attractive. Managed money isn't nearly as long wheat as the other grains, and there is still a war going on affecting the Black Sea which continues to escalate.



There isn't a strong correlation between fund position and wheat price but it helps to see the picture.

Wheat ~ Weekly Nearby



As good as the daily chart looks, the weekly is less attractive. Holding the 50-week moving average here is critical.

Special Bonus: Lean Hogs

Yes the H-word. The bane of many a traders existence in 2026 and the thing that you cannot pay a consumer to purchase.

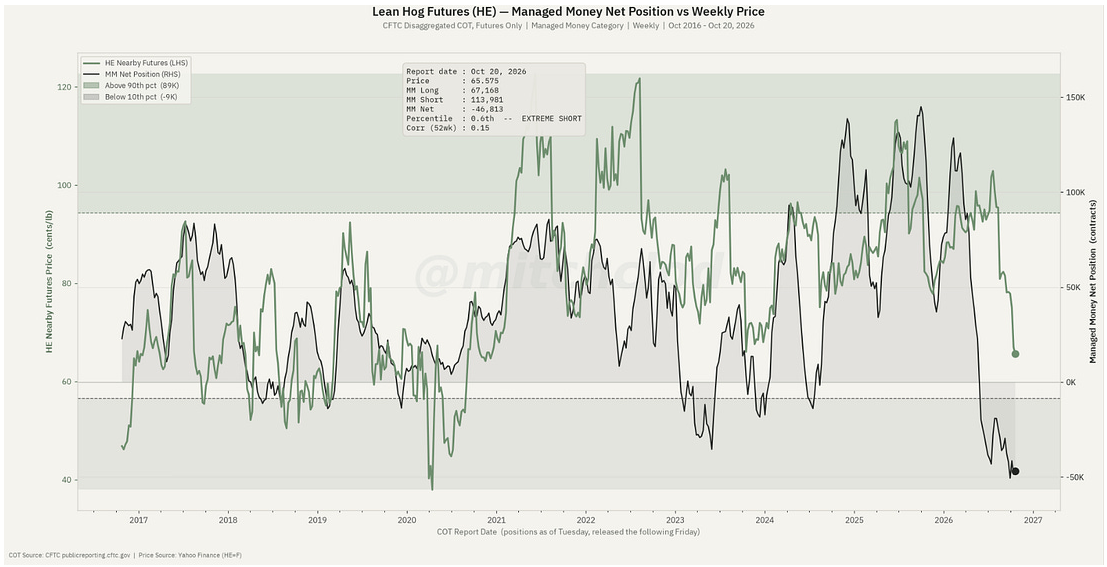
February Lean Hogs ~ Daily



What. A. Chart.

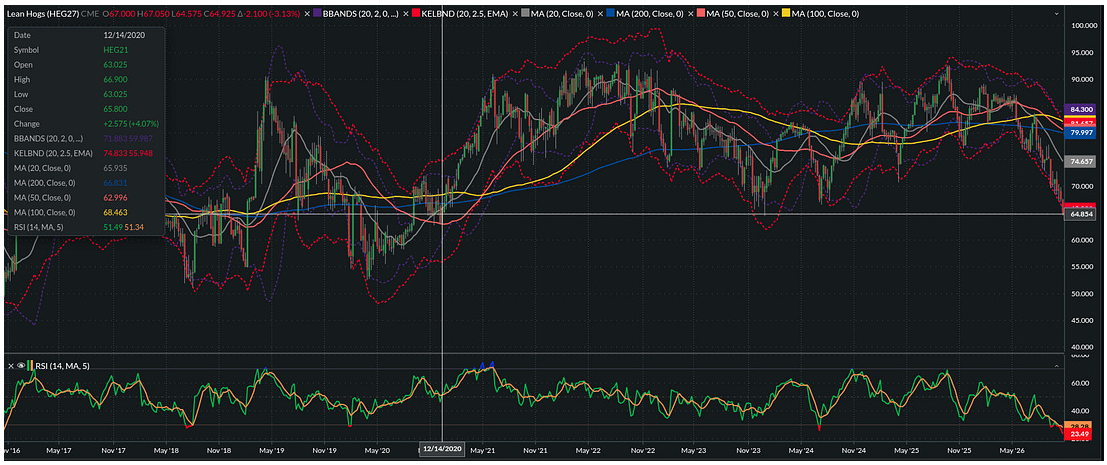
The daily Lean Hog charts all look like this. A lot of nonsense and ass-kicking.

The ***only*** reason I share this with you today is from a pure mean reversion standpoint. They are trading below the bottom Bollinger Bands and Keltner Channel on both the daily and weekly charts. Someone has decided that they hate hate hate hogs right now.

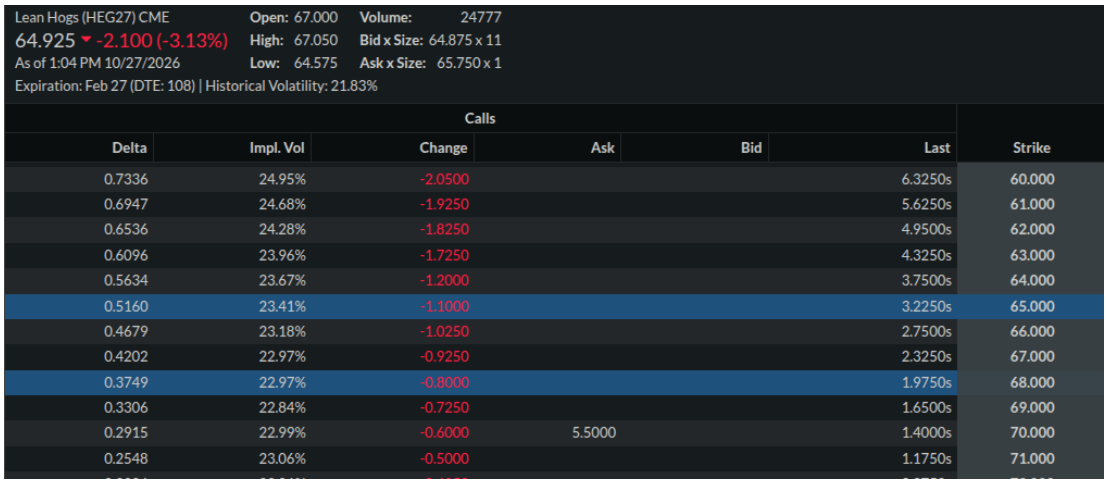


Funds are extremely short but they are not the drivers of price. It's simply that no-one likes hogs, at all.

February Lean Hogs ~ Weekly Continuous



February Lean Hogs closed today at 6 year lows. I am not advising you buy, I am merely pointing out that we are in uncharted territory here. Livestock contracts are volatile. Buying options caps your risk at the premium paid, and premiums are low right now. I especially like the delta ownership potential on a Feb 68 strike call.



Lean Hogs (HEG27) CME
64.925 -2.100 (-3.13%)
As of 1:04 PM 10/27/2026
Open: 67.000 High: 67.050 Low: 64.575
Volume: 24777 Bid x Size: 64.875 x 11 Ask x Size: 65.750 x 1
Expiration: Feb 27 (DTE: 108) | Historical Volatility: 21.83%

Calls						
Delta	Impl. Vol	Change	Ask	Bid	Last	Strike
0.7336	24.95%	-2.0500			6.3250s	60.000
0.6947	24.68%	-1.9250			5.6250s	61.000
0.6536	24.28%	-1.8250			4.9500s	62.000
0.6096	23.96%	-1.7250			4.3250s	63.000
0.5634	23.67%	-1.2000			3.7500s	64.000
0.5160	23.41%	-1.1000			3.2250s	65.000
0.4679	23.18%	-1.0250			2.7500s	66.000
0.4202	22.97%	-0.9250			2.3250s	67.000
0.3749	22.97%	-0.8000			1.9750s	68.000
0.3306	22.84%	-0.7250			1.6500s	69.000
0.2915	22.99%	-0.6000	5.5000		1.4000s	70.000
0.2548	23.06%	-0.5000			1.1750s	71.000

Conclusion

The USDA will keep getting it wrong. They'll revise, apologize, and do it again next month. The market will keep not caring, and the algorithms will keep whipping prices around on headlines that get corrected a few weeks later. None of that is new, and none of it owes you a thing.

What you control is your own risk. Know your cost of production. Know where you're willing to sell and where you're willing to own. Have a plan before the report drops, not after. If the only thing standing between you and a decision is a government number, you're not managing risk, you're waiting for permission.

If you want someone to talk through it with who isn't going to blame the USDA for your marketing plan, reach out to mitch.clod@wicllc.org or 815.626.0883

Thank you for your support.

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